

**Circular Memorandum of the Commissioner for Cooperation &
Registrar of Cooperative Societies, Andhra Pradesh, Guntur**

File Rc.No.13034/12/2026-PACS,

Dated:16-03-2026.

Sub:- Cooperation Department - Primary Agriculture Cooperative Societies (PACS) - Sale or creation of charge of society properties - Procedure to be followed - Instructions issued - Reg.

Ref:- Letter Rc.No.1227/2025-B, dated 09.01.2026 of the District Cooperative Officer, West Godavari.

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The immediate attention of the Officers noted in the address entry is drawn to the captioned subject and references cited.

In the reference cited, the District Cooperative Officer, West Godavari, has forwarded the representation dated 11.11.2025 of the Chairperson, Akividu Large Sized Cooperative Society (LSCS), along with a copy of the General Body Resolution of the society, requesting permission to set-off certain society properties through public auction in the interest of the society.

It is reiterated that, as per Section 9-A of the Andhra Pradesh Cooperative Societies Act, 1964, where Government extends State aid as specified under Section 43 of the Act, such society shall not dispose of or create any charge over its property without the prior approval of the Registrar and the consent of the concerned federal society or financing bank, as the case may be.

Further, the powers of the Registrar under Section 9-A of the APCS Act, 1964 were delegated to the Deputy Registrar of Cooperative Societies in charge of the Division in respect of Primary Societies including PACSs, vide G.O.Ms.No.34, dated 16.01.1989

In this context, and with a view to ensuring transparency, legality, and protection of cooperative society assets, the following procedure shall be strictly followed in all cases where properties of Primary Agriculture Cooperative Societies (PACS) are proposed to put to sale or creation of charge over its property.

1. The proposal shall be placed before the Managing Committee and General Body of the society, and resolutions shall be passed accordingly.
2. Prior consent of the financing bank/federal society shall be obtained mandatorily before initiating any proposal for sale or creation of charge
3. A Sale Committee shall be constituted consisting of representatives of the Cooperation Department, the Financing bank/Federal society, and the President/employee of the society
4. The sale of set-off properties shall be conducted in a transparent, free, and fair manner, ensuring due publicity and equal opportunity to all eligible bidders.
5. A clear-cut Action Plan / Business Development Plan (BDP) shall be prepared and approved, clearly indicating the utilization of sale proceeds for the development of the society.
6. Valuation of the set-off properties shall be obtained from a competent

Government-approved authority, and the upset/reserve price shall be fixed accordingly to ensure realization of fair market value.

7. Wide publicity shall be given for the auction through appropriate modes to ensure maximum participation.
8. The sale shall be conducted through public auction / e-auction (online mode), as far as possible
9. Sale proceeds shall be deposited into the society's account and utilized strictly as per the approved BDP, with utilization certificates submitted to the competent authority.
10. If the sale proceeds of fixed assets exceed their book value, the difference should not be treated as income and not taken into Profit and Loss Account as income, but transferred to the Capital Reserve which is to be shown under liabilities side of the Balance Sheet.
11. Complete records relating to valuation, auction notification, bids received, proceedings of the Sale Committee, confirmation orders, and utilization shall be properly maintained for audit and inspection.

All the District Cooperative Officers in the State are hereby instructed to strictly adhere to the above instructions. Any deviation from the prescribed procedure will be viewed seriously and will attract consequences under the relevant provisions of law.

Babu.A I.A.S

Commissioner & Registrar

To

All the District Cooperative Officers in the State.

All the Deputy Registrar of Cooperative Societies in-charge of the Division in the State.

Copy to the District Cooperative Audit Officers in the State.

Copy to the Chief executive Officers of the DCCBs in the State for information and necessary action.

Copy to the Managing director, APCOB Vijayawada for information.

Copy to the Stock file.